

Gov. Davis open to tax on electric generators' profits

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Gov. Gray Davis says he is open to supporting a windfall-profits tax being proposed by lawmakers on electric generators that have made a fortune selling power to California this year.

He also broke with his appointees on the Public Utilities Commission in saying private companies and other large users should be allowed to contract directly for power with generators.

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For the first time, Davis also said the state should let companies buy their power from generators instead of going through the utilities.

A January law that allowed the state to begin buying power for two nearly bankrupt utilities barred such side contracts.

"That was done originally with the thought the state would have more power and no one to sell it to if companies got off the grid," Davis said. "But our problem is the opposite this summer. If companies want to get off the grid, we should encourage, not discourage that."

The Democratic governor's comments came after he met behind closed doors for more than two hours with Assembly Republicans, who have sharply criticized his handling of the energy crisis.

"I think everyone agreed there are no political winners unless we resolve this challenge," Davis said. "There were a lot of suggestions in there I'm willing to adopt."

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Davis said he hasn't written the remarks he will make during a five-minute address at 6:05 p.m. Thursday that he has asked California television stations to carry live.

However, he said he will "share with them (viewers) the progress that we've made and what we have to get through."

He is expected to talk about the more than 40 percent rate increases approved last week by the PUC for customers of Pacific Gas and Electric Co. and Southern California Edison Co.

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